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09) Incomplete Records

What are Incomplete Records?

- Double entry is very important to keep records of transactions formally and accurately.
- Failure to follow double-entry system and maintain records of transactions formally is an incomplete entry system.
- Because of → various problems can arise
- Decision makers have to face various problems because of informal
- An accounting system contary / conflicting to double entry system is incomplete records.
- Keeping only one of the double entries of a transaction is known as "The Single-entry system."

Reasons for Incomplete Records

→ Unawareness of double entry system
→ keeping double entries is too expensive
→ Double entry accounting system has not been made compulsory
→ Intention of deception / dishonesty
→ Negligence

Disadvantages of Maintaining Incomplete Records

- Impossibility of knowing the accurate operational income
- Impossibility of being accurately aware of the financial position.
- Inability of making accurate decision due to lack of correct information.

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Preparing the financial statements by converting the details available into double entries.

When incomplete records are converted to double entries, the following accounts and statements should have been prepared. The following facts can be disclosed through these accounts and statements.

01. Statement of Affairs
   - Opening capital

A statement of Affairs is similar to a balance sheet but is used when full accounting records are not available. It lists the assets and liabilities of a business to determine the owner's equity (capital) at a specific point in time.

02. Cash book
   - Cash sales
   - Receipts from debtors
   - Cash purchases
   - Payments to creditors
   - Drawings in cash
   - Cash balance
   - Non-recorded revenue or expences
   - Cash shortages

03. Debtors - control account
   - Credit sales
   - Receipts from debtors
   - Opening/ending debtors balance.

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04. Creditor - control account
- Credit purchases
- Payments to creditors
- Opening / ending creditors balance

05. Trading account
- Stocks
- Purchases / Sales
- Cost of the goods sold
- Gross profit

06. Considering the opening balance of fixed assets and the closing balance of fixed assets it is possible to derive the total amount of depreciation for the accounting period.

Profit on cost and Profit on Sales

Profit on Cost

- 100x is the cost
- Profit = cost x %
- Generally (not always) use the word markup

Profit on Sales

- 100x is the Sale
- Profit = Sales x %
- Generally (not always) use the word margin

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in AL is cash = bank same

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4) Prime Entry Books and ledger Accounts

Basic financial Accounting Cycle / Process

Transactions & Events → Support of Source documents → first received in prime entry book → Ledgers → closing balance of ledger → Trial balance → Financial Statements

Prime Entry books are the book where business transactions and events are recorded to the first time. Books of prime entry, books of original entry, day books, journals are few other names for prime entry books.

01. Cash Receipt Journal
02. Cash payment Journal
03. Petty Cash payment Journal
04. Purchase Journal
05. Purchase Return Journal / Return Outward Journal
06. Sales Journal
07. Sales Return / Return inward journal
08. General Journal

01. Cash receipt Journal - receipts of cash
* Source document - Receipts / Receipts voucher, deposit slip

→ cash receipt from sales, debtors, other income, Capital / BI received, Sale (disposal) of non-current asset, VAT cash receipt, discount given &

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02. Cash Payment journal - Payment of cash (execpt for petty cash payments).
Source document - Payment voucher / Cash payment voucher, counterfoil

→ Payment for cash purchase, creditors, expenses, cash drawings, repayment of loans, Purchase (acquisition) of non-current asset, VAT paid, discount received.

03. Petty Cash Payment Journal - Petty cash payments (payments (chinna chinna payments) with small values) of a bs is recorded for 1st time

Source document - Petty cash voucher

→ Stationery, travelling, Small other, sundry etc.

04. Purchase Journal - Credit purchase of goods/stock/inventory/main trading item as in a bs (trade goods) is recorded.

Source document - Purchase invoice

05. Purchase Return / Return outward Journal - Credit purchase (for creditor who given credit) so debit of goods/stock/inventory return transaction are recorded

Source document - Debit Note

- In AL's it is assumed only credit purchase of main stock can be returned.

06. Sales Journal - Credit sales of main trading good transactions of a bs recorded.

Source document - Sales invoice

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07. Sales return / Return inward journal - Credit Sale return transactions are recorded.

Source document - Credit Note

- In A/L's it is assumed only credit sales can be returned.

06. General Journal - Where any transaction not recorded in any of above prime entry books.

Source document - Journal Voucher

→ Opening entries, Adjustments (Bad debt, depreciation, doubtful debt), Correction of entries, Entries to purchase of PPE on credit, Sale on credit disposal and exchange, Closing entries, Notes for posting to ledger, other notes

Cash Purchase main item - Cash payment Journal
Credit Purchase main item - Purchase Journal
Cash Purchase Other item - Cash payment Journal
Credit Purchase other item - General journal

Cash sale main item - Cash receipt Journal
Credit Sale main item - Sales Journal
Cash Sale other item - Cash receipt Journal
Credit Sale other item - General journal

Importance of Prime Entry Books

→ Similar transactions are recorded in same book
→ Can minimize errors and ommissions
→ Minimize Number of entries posted to ledger accounts because PR totals are only recorded in LA.

8-20 marks

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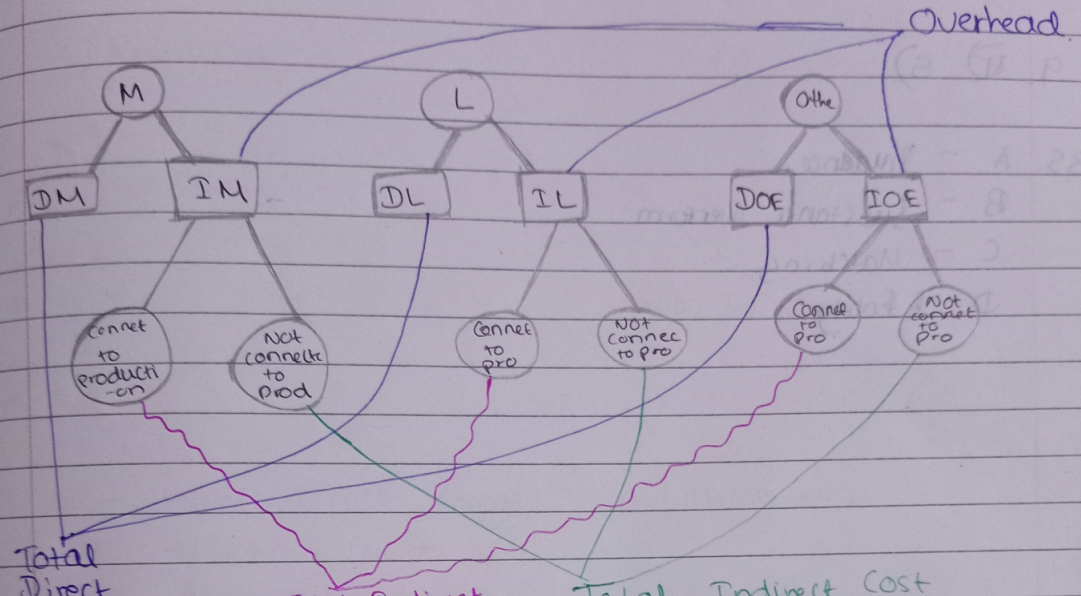
07) Manufacturing Business



Total Direct cost (Prime cost)

Total Indirect Production cost (Production Overhead)

Total Indirect Cost not connected to the product (Non-production overhead)

Total Production Cost

Cost Card

DM
DL
DOE
Prime cost
+ POH
Total Production Cost
+ NPOH
Total Cost

10) Financial Statements for Partnership

Summary

Set of Individuals + Agreement + Business + Making Profit

Min 2 - Max 20
Company Act of 2007
Section 519

* Verbal
* Written
* Implied (Assent/ Expression)

If the partnership capital contribution above Rs. 1000/-

↓

You must have a written agreement (Partnership deed)

} 1840 prevention of fraud ordinance Section 07

If the partnership business name is not in the full name of partners, then you should register the name.

1918 registration of business Name Ordinance

Agreement

- Capital contribution
- Management / Working of the business
- Profit / loss share
- Salary for partners
- Interest on Capital
- Interest on loan by the partners.
- Goodwill

Partnership Ordinance of 1890

[Sec 24]

① Despite capital contribution profits or losses shared equally.
② No interest on capital

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③ Interest on loan provided by partners → Min R 5%.
④ Regardless of working → No salary
⑤ If partners pay business payments from own personal money → they can take it back from the business (Reimbu
-se).

Sec # 42

ⓐ When a partner retire, business should return the money immediately.

ⓑ If it is not settled immediately minimum 5% interest should be paid until the settlement.
(It is considered a normal loan)

Income
(expense)
Net profit
- Interest on Capital
- Partners Salary
- Remaining profit portion / Profit Share

Not as expenses

Partners Equity

Capital A/C — ↑Cr ↓Dr

Current A/C — ↑Cr ↓Dr

Q1.1) False. As per the Ordinance partners should share profits/losses equally

2) False. As per the ordinance 5% interest is applicable for the loan not the capital provided.

3) False.
an en

4) False.
a so

5) False
money
reimbu

6) False
5%.
Secti

7) False
S19

8) False

9) True

10) False
be in
How
as
Rema
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Date 29/05/2025

4-8 marks (2% syllabus)

01) Accounting and its Purpose

Definition of Accounting

Accounting is a process of providing ↑ bs information for the users of accounts / stakeholders / interested parties to make economic decisions.

Main Objective of Accounting

The main objective / purpose of accounting is providing the bs information for the users of accounts.

Other Objectives

- To identify financial performance (P or L) of bs
- To identify ll position (bs assets, liability, equity) of bs
- To identify the liquidity position (bs inflows & outflows of cash) of bs
- To hv proper control over the bs activities
- To hv a proper planning for the future bs activities
- Legal req for some bs.

Users of Accounting

Internal users
- Board of directors (management)
- Managers
- Other employees

External users
- ** Shareholders / investors / owners
- Future potential investors
- Govt
- financial institutions (banks, leasing, insurance companies)
- Customers
- Suppliers
- External auditors
- Competitors
- Pressure groups (trade unions, human rights)
- General public
- Media

Users / Stakeholders	Why they need infor?
1. Shareholders / owners / investors	• To know whether enough returns are generated or not. • To know whether investment is secured or not.
2. Management / Directors	• To manage the business • To make bs decisions
3. Employees	• To know about the salary increments • To know about the job security
4. Government	• To collect the taxes • To know about the impact created on economy
5. Customers	• To know about obtaining quality product/ servica for a reasonable price • To obtain the product/service in the future.
6. Suppliers	• To get supply more in the future. • To collect money for the items already supplied.
7. Banks and other financial institutions.	• To provide more loans in the future. • To know the ability of repayment of loan and interest.

Types of accounting

Financial Accounting

Preparation of info about past transaction of an entity in a manner that will enable mainly external users to make economic decisions.

Note - FA statements can be used by both external and internal

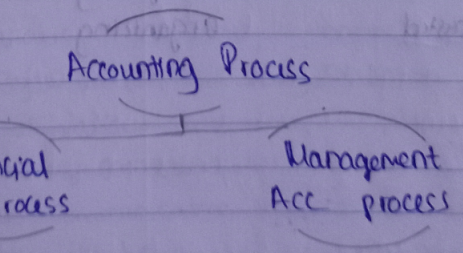
Management Accounting

Simply accounting for management. Management accounting is done to provide relevant information that will support all the levels of managers to make management decisions.

Note - Only used by internal users

Differences.	FA	MA
1. Objective	To provide bs info mainly to external users	To provide bs info only to the internal users
2. Users	Mainly external, but internal also will use	Only internal
3. Legal req	FA is a legal requirement (FA needs to be prepared as per Standards rules & regulations)	MA not a legal requirement (There are no Standards, rules, regulations)
4. Frequency of reporting	Generally prepared annually	Mngt statement reports are prepared when needed by mngt.
5. Nature of info	FA Provides historical / past info	MA past and future forecasting
6. Level of detail	FA provides summarized info (Totals)	MA provides both summarized and detailed info
7. Type of info	FA provides only financial info (info having a monetary val)	MA provides financial & non-financial both.

Accounting Process



Financial Accounting Process

FA Input → FA Process → FA Output

FA Input
Past / Historical transactions & events

FA Process
1. Collect
2. Record
3. Classify
4. Summarize
5. Analysis/interpretation
6. Provide/Present

FA Output
1. Statement of Profit or Loss (Income statement)
2. Statement of financial Position (Balance sheet)
3. Statement of cashflows (Cash inflow, outflow)
4. Statement of changes in equity (reasons for changes in equity)
5. Notes

Transaction / Event → Source Document → Prime Entry Books → Ledgers → Closing Balances of ledgers → Trial balance → Financial Statements

Management Acc. Process

MA Input
Past / Historical
+
Future forecasted info

MA Process
Planning
Controlling
Budgeting
Organizing

MA Output
Any report of for the management
Ex:- . Cost report
. Profit analysis report
. Budgets
. Inv appraisal report

Estimated, Budgeted, evaluate
-d, forecasted, analyzed
keywords MA outputs

factor and variable

Date 30/05/2025

External env factors that affects bs and its accounting process

1. Economic and political envi
2. Legal and regulatory env
3. Technical and professional env
4. Cultural and social env
5. Technological env

	Ext Env Fac	Intro (Des)	Variables (Ex)
1.	Economic and Poli -tical	The decisions taken to prepare and implement economic policies of govt.	Inflation (price level changes) Exchange rate, Capital market (share market) Interest rate, govt policies Unemployment rate Tax, import export
2.	Legal and regula -tory	Laws, Acts and regulatio -ns relating to bs and its accounting process.	Company act NO.07 of 2007 Partnership ordinance of 1890 Inland Revenue act Accounting and auditing act Bs registration regulation Court judgements.
3.	Technical and Professional	Use of various techniques to measure assets, liabilities, equity, income and exp (to prepare fs)	Accounting Standards Accounting techniques Professional accounting bodies
4.	Cultural/Social	The beliefs, customs, habits, behaviours, aspirations, life style of people in Society	Beliefs, customs, habits norm, culture, immigrants Population, attitude
5.	Technological	Use of various equipments, machines, computers & other communication tech -nology in bs.	Computer technology Advance machins Communication technology Social media (FB, insta, tiktok, youtube) Computer Systems

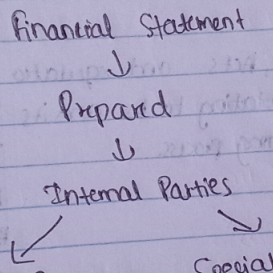
- Changes in diff variables will affect accounting in diff ways. Such as changes in int rate will impact the int cost. Changes in consumer behaviour will impact the sales. ∴ its very imp to being aware of ext env factor

Professional Accounting bodies in SL

- ICA SL
- AAT SL
- CMA SL
- ACCA UK
- CIMA UK
- SL Accounting Standards Committee

Types of financial Statements based on the purpose

1. General purpose fs
2. Specific / Special purpose fs



GP FS — Common demand purpose	SP FS
• Prepared to satisfy the needs of external users.	• Prepared to satisfy needs of internal users.
• Included in companies annual report	• Not included in annual report.
• Prepared according to standards rules and regulations	• No need to follow standards rules regulations
• Prepared in summarized manner	• Prepared in a summarized or detailed manner
• Generally prepared annually	• Can be prepared based on mngt req

Similarities between GP FS and SP FS

- Prepared by internal managers/ mngt
- Use of past / historical info
- Total values are same

Unit 01 Accounting and its purpose

① Definition

- Process
- Providing
- Bs info
- Users of accounts
- Make decision

② Objective

- Main: Providing bs info
- Other:
  - Profit or loss
  - Assets, lia, Eq
  - Cash inflow, outflow
  - Control
  - Planning
  - Legal req

③ Users of Accounts

- Internal:
  - BOD / Top mngt
  - Managers
  - Employees
- External:
  - Shareholders/owners
  - Customers
  - Suppliers
  - Competitors
  - Govt
  - Future investors

④ FA vs MA

	FA	MA
	Mainly ext	Only inte
	Past	Past & Future
	Financial	Financial & non-fin
	Set format (Standards)	No format / No stand
	Once a year	When needed by mngt
	legal req	Not a legal req

⑤ Accounting Process

- FA Process
  - Input (Past)
  - ↓
  - Process (Collect, record, Classify, Summarize, Interpretation, Providing)
  - ↓
  - Output (SOPL, SOFP, SOCF, SOCIE, Notes)
- MA Process
  - Input (Past + Future)
  - ↓
  - Process (Budgeting, Planning, Controlling, Costing, Leading)
  - ↓
  - Output (Any mngt report)

FA in OL

T & E → Source Doc → Prime Entry Book → Ledger A/c → Balance Ledger → TB → FS

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